FINANCIAL BRIEF

BUS 200 Entrepreneurship Project · Team 3 · Laundry Pickup & Delivery Platform · Dammam | Khobar | Dhahran

1. ASSUMPTIONS BOX

Nobody pays to join us — we earn only when our partners earn. We own no laundry, vehicles, or drivers. The app lists all nearby laundries in the Eastern Province, offering useful features such as reviews & ratings, and filters for various cleaning options. How do we earn? Laundries and couriers list for free and pay a commission on what they earn through the app; charging them a subscription on top of commission would have made joining unattractive. Members pay a monthly plan, and advertisers pay for placement.

Year-1 orders	**12,000**	Estimated bottom-up: 2,571 membership-months × 3.5 orders = 9,000 member orders, plus 3,000 non-member orders. This equals approximately 240 orders per laundry per year across 50 partners, or less than one order per laundry per day.
Average laundry basket	**SAR 50**	Sits above the SAR 30 minimum order published by Saudi laundries; a typical mixed load of several thobes plus daily clothes. Year-1 laundry sales = SAR 600,000 (their money, not ours).
Laundry commission	**15% in Q1, then 25%**	Our only charge to a laundry, so it must carry what a subscription would have. 15% to win the first 30 partners, then 25%, still inside the 15–30% range Saudi delivery apps charge. Weighted average SAR 12.00 per order.
Delivery fee	**SAR 22 on average**	Not a flat price: the fee varies with distance, from roughly SAR 15 on short in-city trips to SAR 30+ on cross-city runs. SAR 22 is the volume-weighted average across the three cities. The courier keeps 80% and pays us 20% — SAR 4.40 on an average trip.
Membership	**SAR 59 / month, 4 deliveries**	Four deliveries worth about SAR 88 bought for SAR 59, a 33% saving that mirrors Saudi app subscription tiers. After the courier's share, SAR 17.70 per member-month is ours.
Advertising & sponsored listings	**SAR 750 / month total**	This is the whole monthly advertising budget we sell across all placements combined, not the price of a single advert. It grows with the audience, reaching about SAR 3,000 a month by Q4 (SAR 22,500 in Year 1).

2. YEAR-1 COST STRUCTURE (FIXED VS. VARIABLE)

Cost item	Fixed / Variable	SAR	Why this cost exists, and why classified that way
ONE-TIME STARTUP COSTS (paid once, before launch)			
(App Development) Customer app, laundry dashboard, admin system + courier API	Fixed (one-time)	**150,000**	Saudi guides price an advanced multi-app build at SAR 150,000–400,000. We sit at the floor of that range: delivery is outsourced so there is no driver app, and with no laundry subscription fees, there is no partner billing engine to build.
Registration, legal & setup insurance	Fixed (one-time)	**10,000**	Required before trading and before contracting laundries or couriers.
Launch marketing	Fixed (one-time)	**30,000**	Opening campaign across three cities; a one-off budget, not tied to order count.
Laundry onboarding & launch materials	Fixed (one-time)	**20,000**	Menus, pricing, training and labels for the first 30 partners; a fixed batch.
Subtotal — startup		**210,000**	
YEAR-1 OPERATING COSTS (recurring through the year)			
Customer support & operations (one hired role)	Fixed	**48,000**	SAR 4,000/month against the HRSD wage reference. Founders draw no salary in Year 1, so this is our only payroll. Staffed to a rota, not per order.
Marketing & partner growth	Fixed	**60,000**	Planned annual budget. With no laundry subscription income, order volume is everything — this is the engine that drives it.
Hosting, maintenance & software	Fixed	**22,500**	15% of the SAR 150,000 build per year is the Saudi maintenance norm. Servers run at any order volume.
Accounting, insurance, workspace & admin	Fixed	**28,000**	Required overhead, owed regardless of order count.
Driver pickup & return	—	**0**	Deliberately zero. The courier is paid by the customer and pays us commission, so no driver cost ever reaches our books.
Payment, SMS & order support (SAR 2.60 × 12,000)	*Variable*	**31,200**	Transaction and messaging charges are incurred only when an order is placed.
Free first deliveries for new users (1,000 × SAR 17.60)	*Variable*	**17,600**	The courier is still paid for on promotional orders, so acquisition carries a real per-user cost that scales with sign-ups.
Ad servicing & creative support (10% of ad revenue)	*Variable*	**2,250**	Trafficking and artwork for each campaign sold; rises only as advertising revenue rises.
Total fixed · Total variable		**158,500 · 51,050**	

3. FUNDING PLAN & JUSTIFICATION

We need SAR 250,000. SAR 210,000 startup costs + SAR 32,528 to cover the deepest cumulative deficit (end of Q2) + SAR 7,472 reserve.

Funding option	Cost (money)	Control	Main risk
A · Founders & family capital	No interest and no equity surrendered	Full founder control	Personal savings exposed; capacity limited
B · Monsha'at accelerator / incubator	Non-dilutive — no equity, no interest; costs programme time	Full control retained	Competitive entry and a fixed programme schedule
C · Angel investor	Most expensive — equity given up at our cheapest valuation	Investors join major decisions	Founders own less and lose some control

Our choice — B primary, A for the balance. Outsourcing delivery and dropping laundry partner subscriptions cut the build to SAR 150,000 and removed driver payroll entirely, keeping the ask small enough that equity is the most expensive money available: Option C would sell our cheapest-ever shares to fund a build we can finance without dilution. Monsha'at targets university student teams exactly like ours and supplies the mentorship and courier network we lack; family capital closes the gap interest-free. Angels come later, once order volume is proven.

4. PRICING & UNIT ECONOMICS

Method: competitive + value-based. Each side is priced against what it already pays elsewhere. The SAR 50 basket and the SAR 22 delivery fee are the laundry's and the courier's money; our revenue is only the commission we retain on them.

Laundry commission (weighted)	**+ 12.00**	Payment, SMS & order support	**− 2.60**
Membership, net of courier share	**+ 3.79**	Free-delivery promotion (spread)	**− 1.47**
Delivery commission (20% of average fee)	**+ 0.73**		
Revenue per order	**= SAR 16.52**	**Variable cost per order**	**= SAR 4.07**
CONTRIBUTION PER ORDER = SAR 16.52 − SAR 4.07 = SAR 12.45			
Advertising adds a further SAR 20,250 of contribution in Year 1, earned from the audience rather than from any single order.			

Why each side accepts it: a laundry pays nothing to join and nothing monthly, only 25% of the business we created for it, against a SAR 9,000–25,000 monthly profit it already makes. The courier keeps 80% of every fee and fills idle capacity with batched, pre-paid routes at zero acquisition cost. Customers get nearby choices, item filters, pickup and return, live status, and clear price and rating comparison in one app, and members save 33% on delivery.

5. SIMPLE YEAR-1 PROJECTION & BREAK-EVEN

	Q1	Q2	Q3	Q4	YEAR 1
Orders	1,200	2,400	3,600	4,800	**12,000**
Laundry commission	9,000	30,000	45,000	60,000	**144,000**
Membership + delivery commission	5,429	10,858	16,287	21,733	**54,307**
Advertising	2,250	4,500	6,750	9,000	**22,500**
Total platform revenue (SAR)	16,679	45,358	68,037	90,733	**220,807**
Variable costs	(5,105)	(10,210)	(15,315)	(20,420)	**(51,050)**
Contribution	11,574	35,148	52,722	70,313	**169,757**
Fixed costs	(39,625)	(39,625)	(39,625)	(39,625)	**(158,500)**
Operating profit / (loss)	**(28,051)**	**(4,477)**	**13,097**	**30,688**	**11,257**
Cumulative position	**(28,051)**	**(32,528)**	**(19,431)**	**11,257**	**—**

Break-even formula: Fixed Costs less advertising contribution ÷ Contribution per Order = (SAR 158,500 − SAR 20,250) ÷ SAR 12.45 **= 11,104 orders a year, about 925 a month**. In revenue terms: SAR 158,500 ÷ 76.9% margin = **SAR 206,100** (≈ SAR 17,200 a month). Q3 is our first profitable quarter, while cumulative operating break-even is reached in Q4 at approximately 11,104 orders. Year 1 finishes at 12,000 orders.

Should be considered: 925 orders a month is about 31 a day across three cities, or roughly one order every second day from each of 50 partner laundries. Year-1 revenue also stays below the SAR 375,000 mandatory VAT-registration threshold.

6. WHAT THE NUMBERS SAY

Year 1 is viable but thin: Q3 is our first profitable quarter, and we close with SAR 11,257 profit on SAR 220,807 of revenue, yet the SAR 210,000 build leaves the year SAR 198,743 cash-negative, so payback is a Year-2 event.

Our biggest financial risk is that with no laundry subscription revenue, every riyal now depends heavily on order volume: laundry commission alone is 65% of revenue. If orders arrive 25% below plan, we lose SAR 37,350 of contribution and the year swings to a SAR 26,093 loss — there is no recurring fee to cushion it.

The one change that most improves the picture is converting users into members: a member places 3.5 orders a month and adds SAR 17.70 of membership margin, against roughly one order from a casual user. Twenty per cent more orders add about SAR 29,900 of contribution and more than triple Year-1 profit, with no extra fixed cost.